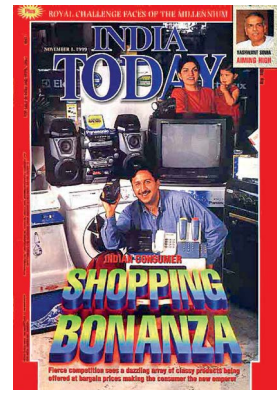
FROM THE

EDITOR-IN-CHIEF

Often, there are bits and pieces of data which, if put together, alert you to a phenomenon. Take cars, for example. It's not just about the record number of new units that hit the roads this year—around 4 million. It's the kind of cars, the plethora of sleek new models out there that are being lapped by an upwardly mobile middle class. Cars in the Rs 7.5 lakh-Rs 22.5 lakh range have seen a full blooming in both variety and volumes. These are symbolic of a segment defined by the new term 'masstige', a mash-up of the words 'mass' and 'prestige'. Prestigious, yet attainable—with price points between the mid-market and super-premium. In this zone where desire meets fulfilment, you see an explosion of new sedan, SUV and MPV models going hand in hand with a nearly unbelievable jump from 44.2 per cent share of sales in 2021 to 53.4 per cent in 2022, to 62.4 per cent till November last year. And this despite a 23 per cent rise in car prices from 2020 to now. Not just that. These cars now come loaded with the bells and whistles you associated with high-end cars: 360-degree cameras, adaptive cruise control, 'hill holder' mode, wireless charging pads, air bags, advanced driver assistance systems. The share of small cars, those priced up to Rs 7.5 lakh, saw a commensurate drop. They used to make up 55.8 per cent of sales in 2021. That tumbled to 46.4 per cent in 2022, and to 36.5 per cent till November. It's like a pyramid getting inverted.

The trend holds across consumer segments, from premium apartments to branded personal effects, from bespoke holidays to a variety of chic devices through which we bring the world home. The long winter for real estate, for one, has ended. But the recovery plots that same inverted graph. A report by property consultant Knight Frank reveals that eight major property markets—Mumbai, the National Capital Region, Bengaluru, Hyderabad, Pune, Ahmedabad, Kolkata and Chennai—saw the share of upper segment homes, costing Rs 1 crore and above, increase from 28 per cent of overall residential sales in Q3 of 2022 to 35 per cent in Q3 of 2023. The mid-level segment (Rs 50 lakh-Rs 1 crore) held steady with a 36 per cent share. But the share of sub-Rs 50 lakh homes, considered the 'lower end' of the property market, fell from 36 per cent to 29 per cent.



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Then take FMCG. Nuclear families now account for almost 50 per cent of Indian households, and data shows they spend more than joint families. So, household spending grew 8 per cent, reaching an average of Rs 17,792 in the past year. That has seen the humble atta now come in various avatars to meet the demand for better variety: gluten-free, fortified, multi-grain, controlled sugar release. Tipplers are getting high on high-end, and going for costlier bottles across the spectrum. They are moving from country liquor to branded liquor at one end, and from entry-level Scotch to premium at the other. In fact, consumption of Scotch imported from the UK nearly doubled across 2020-22, the two years of the pandemic, and India replaced France as the biggest consumer of bona fide Scotch whisky in the world. The travel scene, too, has exploded, with short vacation weekends, long weekend getaways, annual leaves and biannual leaves. Foreign travel has boomed too—not only to budget destinations but also to exotic locations, with the emphasis on experiential tourism. The World Travel Monitor from the industry's leading global consultancy firm IPK International tells us India emerged as the largest source market for outbound travellers in Asia in 2022, beating China, South Korea and Japan with a 190 per cent year-on-year rise in volume.

Even in durables, it's the larger 550- and 670-litre capacity refrigerators that are flying off the shelves, with both replacement buyers and first-timers going for frost-free, side-by-side and bottom-mounted models where the freezer is down below. Smarter technology is producing sleeker and smarter products that exude the air of objets d'art. Washing machines, dishwashers, microwaves, audio brands, grooming and self-care products, all are part of this deluxe deluge. With smartphones, again it's the premium segment that saw a 52 per cent growth while budget phones dropped 14 per cent. Some of this is a function of higher disposable incomes, but more than that, it's psychology that moves in mysterious ways. A generation ago, they would have responded to distress by saving more. Now they are splurging more, even if by borrowing.

The enforced downturn of the Covid years has clearly produced a counter-curve, a rebound love affair with the good life. Call it the YOLO (You Live Only Once) effect the pandemic had on us—the sense that mortality was just a cough infection away. Also, we are witnessing a distinct inter-generational shift in middle-class behaviour, as Rajeev Singh, partner and consumer industry leader at Deloitte Asia Pacific, points out. Unlike their parents, who had to prioritise savings for their children, millennials and Gen Z-ers, particularly those born after the 1990s, have their basic necessities like food, home and health taken care of by their parents. "This sense of security is a very important parameter that was not available to most individuals in the past. This has made them discretionary spenders rather than savers," says Singh. So they are spending like there is no tomorrow.

We are undoubtedly witnessing a premiumisation of the Indian economy. This issue's cover story by Senior Associate Editor Sonal Khetarpal and Managing Editor M.G. Arun maps the phenomenon for you, while not leaving untouched its inner contradictions. "There is a near-stagnation in the sales growth of mass products, be it in automotives, durables, or even homes, possibly due to sagging rural demand and job uncertainty in segments like manufacturing," says Arun. "Even premiumisation may not be a sustainable phenomenon, and companies will need to soon find ways to stimulate demand in the lower segments, which form the lion's share." This is possibly a sign of a K-shaped recovery in the economy where the upper-income layer of the population thrives while the others stagnate. This is not a healthy growth. A rising tide must lift all boats.

(Aroon Purie)